GOVERNMENT OF INDIA

Ministry of Finance

Building a Resilient and Prosperous Economy

Confidential and Proprietory
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SHRI NARENDRA MODI

HONORABLE PRIME MINISTER, INDIA



MESSAGE

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MESSAGE

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MESSAGE

A strong and resilient financial system is fundamental to sustaining economic growth, encouraging investments, strengthening fiscal stability, and promoting inclusive development. The Ministry of Finance plays a central role in shaping India's economic policies, financial governance, taxation framework, capital markets, banking ecosystem, public expenditure, and macroeconomic stability.

The Chamber of Commerce and Industries of India (CCI India) remains committed to supporting the Ministry's vision by facilitating constructive dialogue between government, industry, financial institutions, investors, entrepreneurs, and academia. Through policy advocacy, investment promotion, financial inclusion initiatives, industry collaboration, startup support, and capacity-building programmes, CCI India seeks to contribute towards strengthening India's financial ecosystem and economic resilience.

This Knowledge Paper provides an extensive overview of the Ministry's policy landscape, financial reforms, institutional framework, investment priorities, regulatory developments, and emerging opportunities for collaboration. It explores strategic areas including digital finance, fintech innovation, infrastructure financing, MSME financing, sustainable finance, capital markets, taxation reforms, and public-private partnerships.

Prepared as a strategic reference for policymakers, financial institutions, investors, industry leaders, entrepreneurs, researchers, development organizations, and academic institutions, the publication seeks to encourage informed decision-making and collaborative initiatives that support long-term economic growth and financial stability.

As India progresses towards becoming a developed economy, robust financial institutions and forward-looking economic policies will remain the foundation of sustainable prosperity. CCI India looks forward to strengthening its partnership with the Ministry of Finance in promoting innovation, investment, financial inclusion, and economic excellence.

Munindra Kumar
Director General
CCI India

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PREFACE

India's fiscal architecture is built upon the institutional foundations of the Ministry of Finance, the nerve centre of the nation's economic governance. From managing sovereign debt and directing capital expenditure, to calibrating monetary coordination, regulating financial markets, and enabling investment flows, the Ministry of Finance (MoF) is arguably the most consequential institution within the Union Government. Its decisions reverberate across every sector of the economy, every tier of government, and every segment of society.

The national development context in which this Knowledge Paper is prepared is one of extraordinary ambition and structural transformation. India stands at an inflection point the world's fifth-largest economy by nominal GDP, targeting the third position by 2030, and aspiring to Viksit Bharat 2047: a fully developed, self-reliant, and inclusive economy by the centenary of independence. Achieving this vision demands not only strong fiscal policy, but a robust ecosystem of industry participation, private investment, innovation-led growth, and institutional collaboration. The Ministry of Finance sits at the heart of this transformation agenda.

This Knowledge Paper has been prepared by the Chamber of Commerce and Industry of India (CCI India) to offer a structured, evidence-based, and analytically rigorous assessment of the Ministry of Finance's mandate, institutional architecture, strategic priorities, and collaboration potential. Its purpose is not descriptive but prescriptive to identify actionable pathways through which CCI India can serve as a trusted strategic partner to the Ministry in advancing India's fiscal governance, investment promotion, financial inclusion, and economic development objectives.

CCI India's vision is to serve as India's premier industry-government bridge connecting the policy intent of government institutions with the execution capabilities of the private sector, the dynamism of the startup ecosystem, and the depth of international investment networks. In the context of the Ministry of Finance, CCI India seeks to function as a knowledge partner, policy facilitator, investment enabler, and capacity building institution, contributing substantively to the fiscal and financial development of the nation.

This paper is intended for an audience of Union Ministers, Secretaries to the Government of India, NITI Aayog leadership, senior bureaucrats, industry leaders, institutional investors, development finance institutions, and international partner organisations. It is designed to serve as a credible, actionable, and publication-ready strategic document that can initiate, inform, and accelerate a high-impact collaboration between the Ministry of Finance and CCI India.

Chamber of Commerce and Industry (CCI India)

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About CCI India

CCI India (The Chamber of Commerce and Industry of India) is a premier national business chamber dedicated to fostering economic growth, industry development, entrepreneurship, innovation, and investment promotion across India. As the voice of Indian business and industry, CCI India serves as a bridge between government, industry, startups, academia, investors, and civil society, facilitating meaningful collaboration for nation-building and sustainable development.

Through policy advocacy, business facilitation, research, stakeholder engagement, capacity building, and strategic partnerships, CCI India works to create an enabling environment for enterprises of all sizes. The Chamber actively supports key national initiatives such as Startup India, Make in India, Digital India, Atmanirbhar Bharat, Skill India, and Viksit Bharat 2047 by connecting innovative enterprises with government opportunities and promoting inclusive economic development.

CCI India operates through sector-specific councils, industry forums, knowledge platforms, and state-level engagements that address emerging opportunities and challenges across sectors including manufacturing, agriculture, technology, healthcare, education, infrastructure, sustainability, MSMEs, and startups. The Chamber regularly organizes policy dialogues, investment summits, business delegations, workshops, conferences, and knowledge-sharing initiatives to strengthen India's economic ecosystem.

With a strong commitment to innovation, entrepreneurship, and public-private collaboration, CCI India strives to empower enterprises, facilitate investment, enhance competitiveness, and contribute to India's journey toward becoming a globally competitive and economically resilient nation. Its role as a knowledge partner and industry catalyst enables ministries, departments, state governments, startups, and businesses to collaborate effectively in achieving national development objectives.

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1. Introduction to the Ministry of Finance

1.1 Constitutional and Statutory Mandate

The Ministry of Finance derives its authority from the Constitution of India, which vests the Union Government with overarching responsibility for national fiscal management, public finance, taxation, and economic regulation. Article 112 mandates the presentation of the Annual Financial Statement (Union Budget) to Parliament, while Article 266 governs the Consolidated Fund of India the primary repository of all government revenues. Article 360 empowers the President to proclaim a Financial Emergency, with the Ministry of Finance as the principal administrative authority.

Beyond the constitutional framework, the Ministry's statutory mandate is defined through landmark legislation including the Fiscal Responsibility and Budget Management (FRBM) Act, 2003 which establishes fiscal deficit targets and medium-term fiscal consolidation obligations the Public Debt Management Agency framework, the RBI Act, 1934 (under which the Ministry coordinates monetary policy with the Reserve Bank), the Income Tax Act, 1961, Customs Act, 1962, Goods and Services Tax (Constitution Amendment) Act, 2016, and the Insurance and Pension regulatory statutes. Together, these instruments define the legal scaffolding within which the Ministry operationalises its fiscal, monetary, and financial governance functions.

1.2 Institutional Mandate and Governance Role

The Ministry of Finance is the apex fiscal institution of the Union Government. It is responsible for the mobilisation of public revenues through taxation and non-tax receipts, the allocation of expenditure across all Ministries and departments, the management of public debt and borrowings, the regulation of the financial services sector including banking, insurance and capital markets, the administration of economic reforms and disinvestment policy, the coordination of international financial relations, and the oversight of development finance institutions. In practical terms, the Ministry exercises influence over every rupee that enters or exits the national exchequer.

Its governance role extends beyond fiscal administration. The Ministry shapes the macroeconomic environment through tax policy, tariff calibration, disinvestment strategies, and external borrowing frameworks. It provides the fiscal underpinning for India's flagship missions from PM Gati Shakti and Production-Linked Incentive (PLI) schemes to the National Infrastructure Pipeline and the National Monetisation Pipeline. It is also the nodal Ministry for India's bilateral and multilateral financial diplomacy, engaging with institutions such as the IMF, World Bank, Asian Development Bank, and the G20 Finance Track.

1.3 Evolution and National Significance

The Ministry of Finance traces its institutional origins to the pre-independence era, with the Finance Department of the Government of India established under British rule. Post-1947, the Ministry was progressively restructured to reflect the fiscal imperatives of a newly independent, developing economy. Landmark transformations include the adoption of Five-Year Plan-based budgeting, the liberalisation of 1991 which the Ministry co-architected with the Prime Minister's Office the introduction of the Goods and Services Tax in 2017, and the post-COVID fiscal stimulus architecture of 2020–21.

Today, the Ministry manages a Union Budget exceeding ₹47.65 lakh crore (FY 2024-25), with capital expenditure of ₹11.11 lakh crore the highest in independent India's history. Its decisions determine the trajectory of GDP growth, inflation management, employment generation, financial inclusion, and investor confidence.

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